Sample Trade

Figure 59.6 shows a sample trade for descending scallops. How would you trade the June scallop? The first thing you may notice is that it appears at the end of a long upward price trend. Thus, this scallop acts as a reversal. This fact does not become clear until price closes below point B, the lowest low in the pattern. When that happens, it signals a downward breakout and a trend change. That movement means shorting the stock (or selling shares you own) is a risky maneuver that should be left to serious traders and investors.

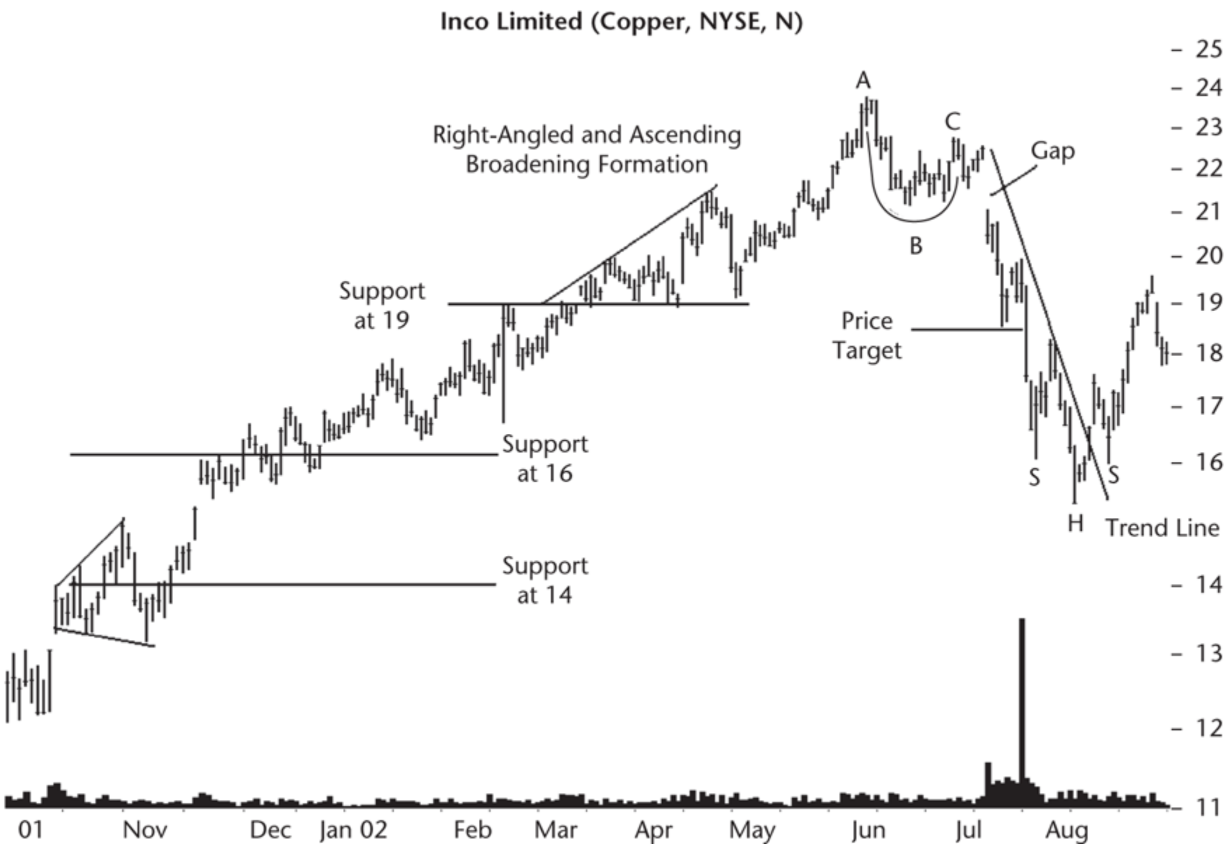

Figure 59.6 This descending scallop acts as a reversal of the upward price trend.

Before taking a position in the stock, use the measure rule to determine how far price will decline. I already discussed this in Trading Tactics, so refer to the measure rule discussion there for more information.

Look for support and resistance zones. Overhead resistance will probably occur at the old high (point A at 23.75), perhaps forming a double top.